

The Time is Right!

"Open source holds tremendous opportunities for entrepreneurs. Areas like e-commerce, CRM, HMS and ERP are very promising. We see a rising demand for collaborative applications in these segments, wherein an open source system can talk to legacy applications," says Dr Chamria. However, he also offers a word of caution. "Every entrepreneur entering open source should be clear about the idea of open source and stick to it. Besides that, a sustainable business model is essential," advises Dr Chamria.

effective deployment, management and growth of a successful Web-based business. SSecom, which came out in 2007, was robust, scalable and easy to use. The community played a crucial role in the testing phase and in generating a wish list of features. "The core development has been done in-house with community participation for beta testing and in adding new features from time to time," says Dr Chamria. SSecom is available under two licences – a single domain life-time licence with open source code, and as a hosted e-commerce solution where the user pays per use. "The single domain licence is implemented so that the user does not resell the licence further or use it on multiple domains. This is important as otherwise it will lead to misuse and loss of revenue. The source code is open in this case. Only one file is encrypted so that the licence file is not meddled with," says Dr Chamria.

Alongside, the firm expanded its Web design and development services to include content management systems like Drupal, e-commerce solutions, custom product development using PHP and MySQL, IT consulting, the Zend framework supporting multiple database systems, project management, Web design and search engine marketing.

Brand franchising

Sakshay also transformed its business model to suit the changing nature of business. It followed a brand licensing model for SSecom, wherein the firm charged other companies for the right to use the SSecom brand name and trademark in creating derivative products. "The brand franchising model is a brilliant model wherein the reseller or affiliate pays us a fee for using our trademark and for the support/advisory services we give the franchisee. We have about 400+ affiliates and 120+ resellers. About 30 per cent of our business today comes through this model," says Dr Chamria.

Value added services

Sakshay has gone beyond basic support and today offers value added services like customised/modified versions of the e-commerce product. "Our e-commerce product is mainly targeting the retail market. We have built modified versions to suit service catalogue companies, garment manufacturers and electronics retailers. These value added services won us a good market in the US and in India," says Dr Chamria.

And the outcome from this mixed business model has

resulted in significant growth in revenue, infrastructure, clients and resources. Today, Sakshay has grown to a team of 90 professionals, with 60 at the Delhi centre and another 30 working onsite with clients. Its client base too has spread across the US, the UK, Europe and India, including Indian bigwigs like Dywidag India and Indiamart; global giants like US-based Biz2credit and National Mortgage Professional; and the UK-based QS and Asiana Magazine. Sakshay also has an impressive client list of over 25 NGOs in India like CanSupport, educational institutions like Sohar University, and companies like Punch Graphix, ReaMetrix, Brandon Hall Research, etc.

Ups and downs

However, some hitches remain. "Though SSecom is a stable product with features comparable to other e-commerce products like CommerceSpace, winning the trust of the customer isn't easy. There have been times when clients would call different vendors that worked with different technologies, and then we all would put across our strengths. We would start by showing the customer how Web servers can be more economical, and then move on to sell the stability and support reliability around our products. We are also working on introducing an on-demand model for our solutions, to further win customers for our e-commerce product," says Dr Chamria. Further, being a service-based business model with books showing a lower turnover, getting finance and credit is an issue. "We are a self-financing set-up but are looking for funding to develop more products like SSecom," says Dr Chamria.

What's cooking in the days to come!

Looking ahead, Sakshay plans to focus more on the SaaS (software as a service) model. "We are moving towards SaaS to add yet another plus to the open source advantage. Take our e-commerce application for instance, which has hundreds of features. A small online business would probably need only 20 of them and if given a chance to pay only for those 20, we could increase our business and customer base. We see open source and SaaS being a winning combo for us in the future," says Dr Chamria.

Apart from that, Sakshay is working on solutions in the customer relationship management (CRM) and content management system (CMS) segments, and these are expected to be launched by the year-end. The company is also planning to get into the health sector through hospital information management systems (HIMS) and other critical business applications. With such optimistic plans, it seems almost certain that Sakshay will continue doubling revenue, forging new alliances and further spread its wings overseas. **END** 

By: Vanisha Joseph

The author loves to experiment, and writing for *LINUX For You* is her latest experiment – so beware! Just a minute, she also happens to be a journalist during the day